

1-C:

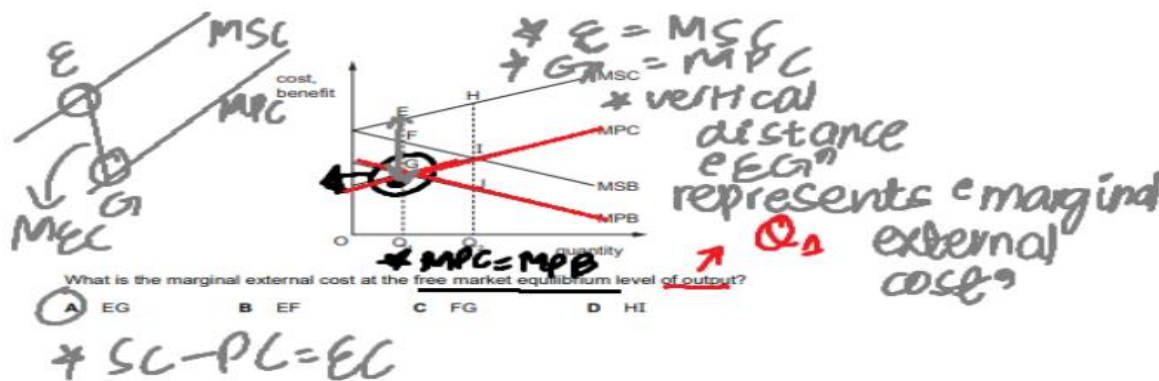
A) A **higher concentration ratio** indicates a **more oligopolistic market structure**, which can lead to a decrease in competition and an increase in market power. This can result in allocative inefficiency, as firms with market power can influence prices and output, leading to a misallocation of resources.

B) Collusion is a form of **anti-competitive behavior** that can lead to a cartel, where firms agree to **fix prices, restrict output, or engage in other collusive practices**. This can result in a deadweight loss, as prices are higher and output is lower than in a competitive market.

C) The entry of new firms increases competition, leading to a more competitive market structure. This increased competition can lead to a more efficient allocation of resources, increasing allocative efficiency. **This explains why key C is correct.**

D) Mergers can give existence to monopolies which lead to a deadweight loss, as prices are higher and output is lower than in a competitive market, reducing allocative efficiency

2-A:



G is the private equilibrium, because that is when, $MPC = MPB$.

Marginal external cost is the difference between 'Marginal social cost' and the 'Marginal Private cost', so the vertical distance "EG" represents the 'Marginal external cost'

3-C:

-> Employment for Ferry Services: Yes, this is a relevant factor to consider. The construction of a road bridge could potentially lead to a reduction in demand for ferry services, leading to a reduction in employment in that sector.

-> Increase in Carbon Emissions: Yes, this is important. The construction and operation of the bridge may lead to an increase in carbon emissions due to increased traffic and construction activities. This environmental impact which represents "external cost" should be weighed against the benefits of improved connectivity.

-> Reduction in Travel Time for Work: Yes, this is a significant benefit to consider. A road bridge could reduce travel time for individuals commuting to work or for other purposes.

-> An increase in incomes for the community: Yes, this is again a significant benefit to consider because not only construction of the bridge will create employment opportunities, but also, when improved connectivity as a result of speedier, and improved transport links, encourages enterprise, further jobs will be created, which will again boost incomes for the community. This is why, key C, will be correct.

4-A:

The table shows the levels of total and average utility at different levels of a consumer's weekly consumption of a product.

number consumed per week	total utility	average utility	Marginal utility
1	4	4.0	4
2	9	4.5	5
3	15	5.0	6
4	20	5.0	5
5	24	4.8	4
6	27	4.5	3

After which level of weekly consumption does the diminishing marginal utility first occur?

A 3 B 4 C 5 D 6

Diminishing marginal utility first occurs at consumption level "4", which occurs after consumption level 3.

5-B:

A – Consumer preferences between the two goods is shown through the “indifference curve”

B - A budget line shows all possible combinations of two goods available to consumers that can be purchased with their money income. The cost of each of the combinations is equal to the given money income of the consumer, since operating on the “budget line” means that all income is spent. This is why, key B, becomes correct.

C – Budget line does not illustrate the “least cost-combination” (The cost of each of the combinations is equal to the given money income of the consumer, since operating on the “budget line” means that all income is spent.) And also, the utility of the consumer is the same along the indifference curve

D – Both indifference curve and budget line are required to observe the income effect of a price change.

This explains why key B is correct.

6-A:

A – This is correct as the income and the substitution effect of a price increase of a giffen good will move in the opposite direction, and importantly, the income effect will outweigh the substitution effect and therefore the law of demand will not be followed. **This explains why key A is correct.**

B – The income effect will not result in a reduced consumption of all goods, as in the case of an inferior good, a rise in price when results in a fall in real-income leads to an extension in qty demanded of inferior goods.

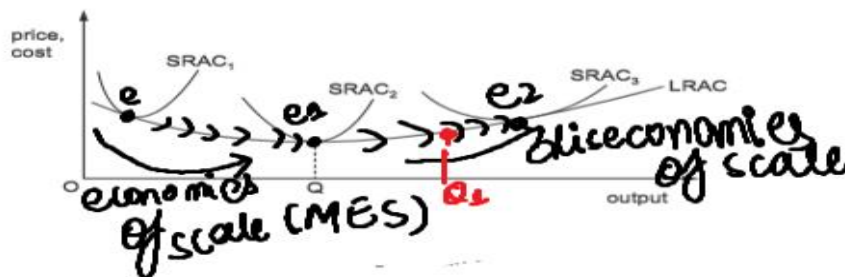
C – The new equilibrium position will be where the new budget line meets the new indifference curve.

D – The price rise will not be represented through a parallel shift of the budget line. It will be represented through the budget line being shown to tilt or pivot inwards (one side shift)

7-B:

- A- Output level "A" represents the profit maximizing level of output because it corresponds to the equilibrium where $MC=MR$.
- B- Output level "B" represents the sales revenue maximizing level of output because it corresponds to the equilibrium where $MR=0$. **This explains why key B is correct.**
- C- Output level "C" represents the allocatively efficient level of output because it corresponds to the equilibrium where $MC=AR$.
- D- Output level "D" represents the level of output where $AR=0$.

8-B:



A – When each of the three SRAC curve is U-shaped, this represents “law of diminishing returns, since it applies in the short-run.

B_ When the LRAC curve is upward sloping beyond output OQ, as can be seen in the figure 1, that an increase in output from Q to Q1, for example, would lead to a rise in long-run average costs, in turn representing “dis-economies of scale” or “decreasing returns to scale”. This is why, key B, becomes correct.

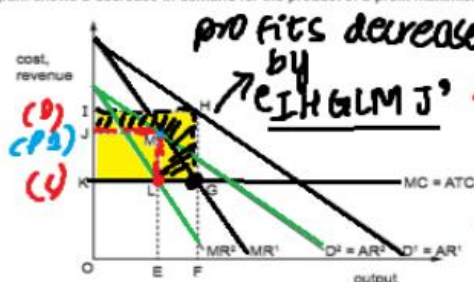
C- When the minimum point of SRAC 2 is below that of SRAC1, this means that a movement from SRAC1 to SRAC2, would result in a fall in long-run average costs, or in other words, economies of scale.

D: When the minimum point of SRAC2 is below that of SRAC3, this means that a movement from SRAC2 to SRAC3, would result in diseconomies of scale.

This explains why key B is correct.

9-C:

The diagram shows a decrease in demand for the product of a profit maximising monopolist.



profits decrease initially:
by $\triangle IJHG$
* profit is maximized $\Rightarrow$
* $MC = MR_1$
* area of profits $\Rightarrow \triangle IGHK$
Demand decreases
* Average revenue (demand)
curve shifts inwards (new: AR_2)
* profit is maximized $\Rightarrow$
* $MC = MR_2$
* area of profits $\Rightarrow \triangle JMLK$

10-B:

- ➔ Costs involved in building the factory is a capital-expenditure, that does not vary with the level of output, which means that it is not a "variable cost"
- ➔ Similarly costs of acquiring machinery and delivery vehicles are also fixed costs, and not variable because they do not vary with the level of output.
- ➔ Raw materials including fuel, and wages for workers are variable costs, which means that the sum of variable costs is: $(5+1= 6\$)$
- ➔ This is why , key B(\$6m), becomes correct

11-B:

- Horizontal merger: A merger between two firms that produce same products at the same level of production , aiming to achieve economies of scale, increase market share, and reduce competition. In this case, the manufacturing company merged with company X, which produces a substitute product, making it a horizontal merger.
- Vertical merger: A merger between two firms that have a buyer-supplier relationship, aiming to control the supply chain, reduce costs, and improve efficiency. In this case, the manufacturing company merged with company Y, which supplies raw materials, making it a vertical merger. (specifically, vertically backward integration)

This explains why key B is correct.

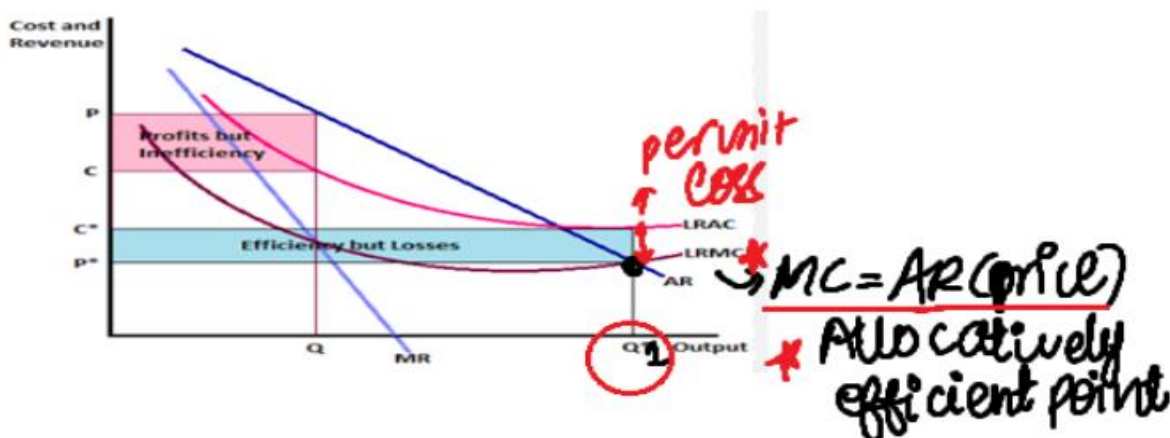
12-D:

A – A monopolistic firm is in a short-run equilibrium when a “profit maximizing level of output is produced”, that is when, Marginal cost (MC) = Marginal revenue (MR). And this diagram also represents that a firm has very large fixed costs, because Average costs are falling consistently.

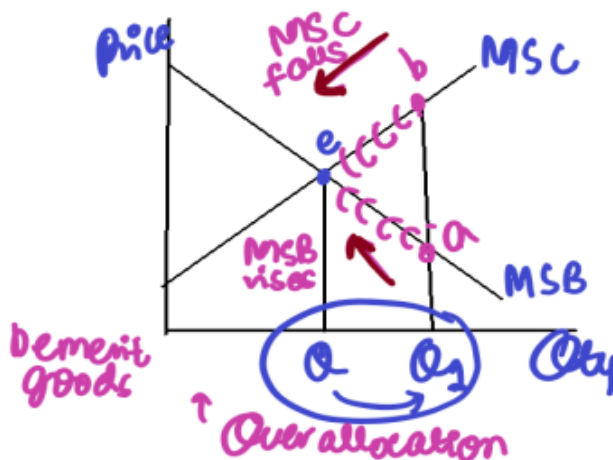
B – If a monopoly engaged in making supernormal profits, it would have operated where Marginal cost (MC) = Marginal Revenue (MR). And also, the Average Total cost of a monopoly does not only fall.

C – If an oligopoly engaged in a price war, it would have not produced an allocatively efficient level of output.

D - The allocatively efficient point is achieved at the output “Q1” (where MC=AR). Since, long-run average cost is greater than the average revenue, this represents “per-unit loss”. And, when the per-unit loss is multiplied by the volume of output (Q1- as can be seen in the diagram below), which is allocatively efficient, this will help to determine the “area of loss”, that is seen in the diagram above. This is why, the government usually takes over it to provide for the losses. This is why, it can be said that a “non-profit maximizing state monopoly” or a natural monopoly is shown.



13-D:



A- This is incorrect because MSB rises when quantity is contracted.

B- Again, Marginal social benefit rises when quantity is contracted.

C - If the fall in the total social benefit is greater than the total social cost, this is a disadvantage, which will result in a fall in “society’s net welfare”

D - If the fall in total social cost is greater than the fall in the total social benefit, this represents a “fall in external cost”, as a result of which, society’s net social welfare increases.

14-A:

- The diagram shows the original income, disposable income (after taxes), and final income (after benefits) for each household group.
- The bottom 20% to 3rd 20% groups “who earn less than 40,000” have **higher final incomes than their original incomes, indicating they receive more benefits than they pay in taxes.**
- The 4th 20% group (**which earns more than 40,000**) has a lower final income than their original income, indicating they pay more in taxes than they receive in benefits.
- The top 20% group has a lower final income than their original income, indicating they pay more in taxes than they receive in benefits.

Therefore, all income groups are better off except those originally earning more than \$40,000 per year (the 4th 20% group and the top 20% group).

15-A:

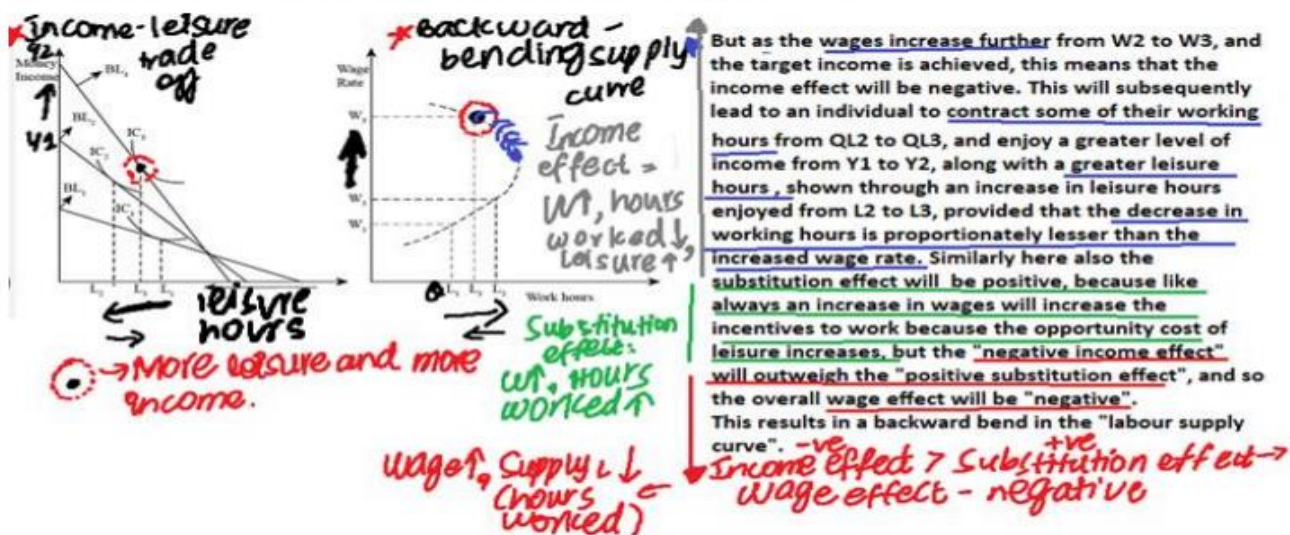
The correct answer is A) the imposition of minimum wage levels below the levels produced by the market.

Note: To be effective, a minimum wage must be imposed above the equilibrium.

- Minimum wage levels below market levels would be **ineffective as this represents that wages cannot fall below this level, but they can rise, and when they reach the equilibrium, the policy would fail or be ineffective.** This explains why key A will be correct.
- Progressive personal income taxes (B) would reduce income inequality by taxing higher incomes at a higher rate.
- Payment of benefits to low-income households-means **tested benefits-** (C) would directly increase their income, reducing inequality.
- Removal of sales taxes on food consumed by lower-income households (D) would also improve income equality as **indirect taxes are regressive in nature, which represents that they had previously taken a greater proportion of low-income groups in taxes.**

16-D:

A backward bending supply indicates that eventually an individual will choose to spend more time on leisure rather than continue working for increased wages, thus making option “D” correct. This is explained in the diagram below:



A - Since the graph begins from the origin, it represents that the price elasticity of supply of labor is unitary.

B – This represents that PES of labor is perfectly elastic.

C – This represents that the PES of labor is perfectly inelastic

17-B:

A – If a trade union represents a large proportion of workforce in the company, then this represents that the demand for labor it supplies is inelastic, and so, the trade union is more likely to gain a large pay rise for its workers.

B – If the trade union represents a workforce that has an elastic demand for labor, then in that case, upon a rise in wages even by a relatively smaller percentage, quantity demanded for labor will contract by a relatively larger percentage, which implies that the trade union is less likely to gain a large pay rise for its workers.

C – If the trade union represents a workforce that is increasing labor productivity, then in that case, the demand for labor will rise, as a result of which, there will be a rise in the wage rate.

D – If a trade union represents a workforce that represents a highly profitable monopoly, then in that case, it can make use of the profitability argument to bargain for an increase in wages.

18-C :

This statement actually supports the view that extraction of mineral resources by a foreign company could benefit the developing economy, as it suggests that the company will invest in human capital and increase the skill levels of the local population. This could lead to long-term economic growth and development. **This is why, key C, becomes correct.**

A) An appreciation of the exchange rate could make other exports less competitive and since imports would appear cheaper, this could further translate into a BOT deficit, which leads to a fall in Aggregate demand, reducing economic growth.

B) Reduced tax rates could lead to lower government revenue, making it harder to fund public services and infrastructure.

D) The repatriation of profits by the foreign company would mean that the developing economy would not benefit from the resource extraction.

19-A:

Nominal GDP measures the value of goods and services produced in a year using current prices, whereas real GDP measures the value of goods and services produced in a year using constant prices (i.e., prices from a base year). **This means that real GDP adjusts for inflation, which can distort the picture of economic growth.**

This makes real GDP a better indicator of economic growth, as it shows the actual increase in production, rather than just the increase in prices. **This explains why key A is correct.**

B) Real GDP does not ignore the effects of exchange rate fluctuations on purchasing power.

C) Real GDP does not account for changes in population size (that would be per capita GDP).

D) Real GDP measures GDP at market prices, not factor cost.

20-C:

Official foreign aid, also known as Official Development Assistance, is defined by the Organization for Economic Cooperation and Development (OECD) as assistance provided by **governments or their agencies to promote economic development and welfare in developing countries.**

Since **non-governmental organizations (NGOs)** are not governments, the disaster relief money they send is **not considered official foreign aid**. Instead, it is classified as private aid or non-governmental aid. Therefore, the correct answer is C) It is not supplied by a government.

A) Official foreign aid can finance short-term emergency assistance, like disaster relief, not just long-term investment programs.

B) Interest payment is not a criterion for defining official foreign aid.

D) Developing countries are not limited to Asia and Africa; South America also has developing countries that receive official foreign aid.

21-C:

Seasonal unemployment occurs when industries or businesses experience a temporary decrease in demand for their products or services due to changes in the season or time of year. Examples include:

- Summer resort workers who are laid off in the winter
- Agricultural workers who are unemployed between harvests

This type of unemployment is usually **temporary and resolves itself when the industry or business experiences an increase in demand again. This is why, key c, becomes correct.**

A) A general decrease in demand for goods and services would lead to cyclical unemployment, not seasonal unemployment.

B) A lack of necessary skills in the workforce which are in demand due to changes in the structure of the economy would give existence to structural unemployment, not seasonal unemployment.

D) An unwillingness of workers to move to other parts of the country where there is work represents geographical immobility which contributes to structural unemployment.

22-A:

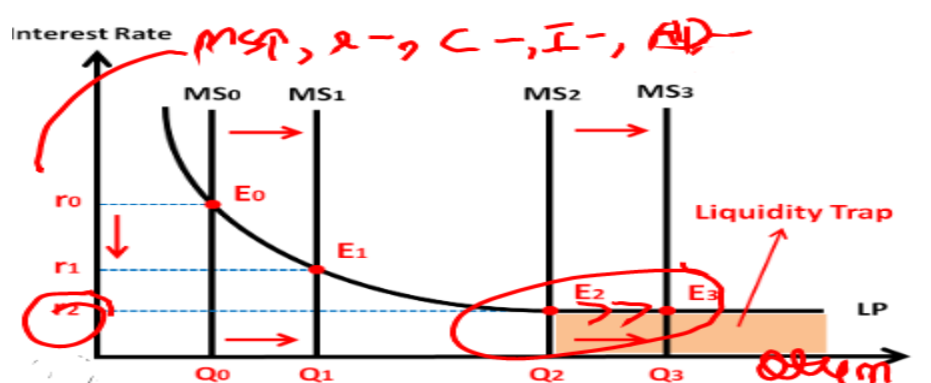
Let's break down the calculation step by step:

1. Initial situation:
 - Total output = 18,000 units
 - Total hours worked = 50 workers x 40 hours/week = 2,000 hours
 - Productivity per hour = Total output / Total hours worked = 18,000 units / 2,000 hours = 9 units/hour
2. New situation:
 - Total output = 19,200 units
 - Total hours worked = 60 workers x 40 hours/week = 2,400 hours
 - Productivity per hour = Total output / Total hours worked = 19,200 units / 2,400 hours = 8 units/hour
3. Change in productivity:
 - Decrease in productivity per hour = Initial productivity - New productivity = 9 units/hour - 8 units/hour = 1 unit/hour

So, the increase in employment led to a decrease in labor productivity per hour by 1 unit.

23-A:

According to **Keynesian theory**, a liquidity trap occurs when the economy is in a state of deep recession or depression, and people hoard cash instead of spending or investing it, even if interest rates are zero or very low. **In this situation, an increase in the money supply will not stimulate economic activity or increase output, as people are not willing to spend or invest the extra money.**



B) If the money supply increase was not anticipated, it could still have an impact on output, as it would bring about a fall in the **rate of interest**, that will **still stimulate economic activity as part of expansionary monetary policy**.

C) A floating exchange rate would not mean that an increase in the money supply would leave output unchanged.

D) An immediate adjustment to expectations about future price levels could actually lead to an increase in output, as people might be encouraged to spend now if they expect prices to rise in the future.

24-B:

When an economy is experiencing a negative output gap, it means that the **actual output is below the potential output, indicating a recessionary gap.** /n this situation:

1. Inflation rate: Likely to decrease as there is “low Aggregate demand” in the economy.
2. Unemployment: Likely to increase, as the economy is not producing at its full capacity, leading to underutilization of resources, including labor. Since there is deficiency of Aggregate demand, **there is likely to be an increase in “demand-deficient unemployment”**

25-B:

A).Monetarists do not necessarily believe that economies are naturally unstable. In fact, they argue that economies tend towards equilibrium.

B).This is a core belief of Monetarists. They advocate for an approach to monetary policy, where the central bank follows a clear and predictable rule for setting interest rates or the money supply. **This explains why key B is correct.**

C) Monetarists do not believe that the aggregate supply curve has a slight slope. Instead, they believe that the long-run aggregate supply curve is vertical.

D) Monetarists believe that wages and prices are flexible, both upwards and downwards. Instead, Keynesians believe that wages are sticky or inflexible downwards.

26-A:

- **Average price level falls:** Indicates decreased inflation which can lead to increased purchasing power . **This is likely to result in a higher real GDP.**
- **Total output rises:** Means the economy is producing **more goods and services, a clear indication of economic growth. (GDP=incomes=output=expenditure)**
- **Total population falls:** Leads to **increased per capita output** as the same output is now shared among fewer people.
 - > **These measures would subsequently translate into a higher real GDP per capita.** The combination of decreased inflation, increased output, and reduced population leads to increased economic growth per capita.
- **Gini coefficient rises:** Initially, economic growth can lead to increased income inequality, as some individuals or groups benefit more than others (Kuznets curve).

27-C:

Budget deficit increases to +4% of GDP:

- This means the government is running a large budget deficit, increasing the national debt by 4% of the country's GDP.

- A large budget deficit indicates that the government is borrowing more money to finance its expenses, which adds to the national debt.
- This increases the burden on future generations, as they will have to pay back this debt with interest.

+2%:

- This indicates a small increase in GDP, which means the economy is growing, but at a slow rate.
- **A small GDP increase means the government's revenue is not growing significantly, making it harder to pay back the increasing national debt.**

- Decreasing bond prices (-2% decreasing):

There is a negative relationship between bank interest rates and the price of bonds.

→ When the interest rate rises, people choose to save in banks, which reduces their demand for bonds, subsequently leading to a fall in bond prices.

- Decreasing bond prices indicate an increase in interest rates, which increases the cost of borrowing for the government, as a result of which, the burden of debt rises.

28-A:

- Foreign direct investment (FDI) of \$25 billion indicates a significant influx of capital into Country X.
- This will boost Aggregate demand as investment **represents an autonomous injection into the circular flow**.
- The **investment multiplier effect** suggests that this initial investment will have a multiplier effect on the economy, leading to even more spending and economic activity, or in other words, **real national income will rise by a greater magnitude than an increase in autonomous injection into the circular flow**.
- B) Country X may not need to use its foreign reserves to eliminate a trade deficit, as the FDI could potentially improve the trade balance by increasing the export potential of that particular country.
- C) Since profits may be repatriated to foreigners, which is a potential outflow, this represents a negative impact of FDI.
- D) While increased capacity utilization could lead to inflationary pressures, this again represents a negative impact of FDI.

29-D: The diagram shows a relationship between tax rates and tax revenues, indicating that as the tax rate increases, tax revenue initially increases, but eventually decreases. This is known as the Laffer Curve.

The **decrease in tax revenue at higher tax rates is often attributed to increased tax avoidance and evasion**. When tax rates become too high, individuals and businesses may seek ways to minimize their tax liability, such as:

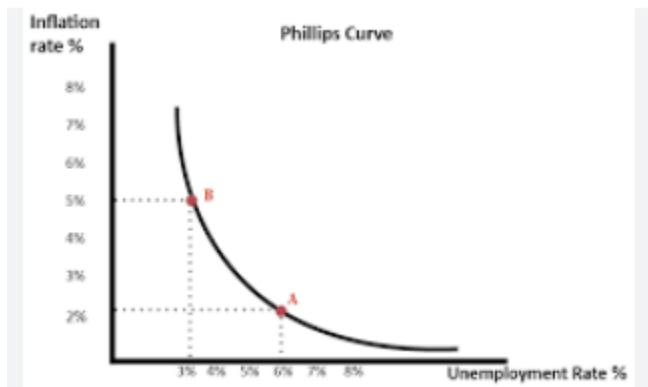
- Tax evasion (illegal) → Tax avoidance (e.g: exploiting loopholes or deductions)
- Reduced economic activity (less work, investment, or innovation)

This explains why key D will be correct.

30-A:

Vertical axis: Inflation rate

Horizontal axis: Unemployment level



A Phillips Curve diagram shows the historical inverse relationship between unemployment and inflation. The curve typically slopes downward, indicating that:

- As unemployment falls (moves left on the horizontal axis), inflation tends to rise (moves up on the vertical axis).
- As unemployment rises (moves right on the horizontal axis), inflation tends to fall (moves down on the vertical axis).

